

Standard Doc – Maximum CLTV				
Loan Amount	Credit Score	Primary Residence	Second Home	Investment
\$350,000	740	90	80	75
	700	85	80	65
	680	75	75	NA
\$500,000	740	85	75	75
	700	85	75	65
	680	75	70	NA
\$750,000	740	80	75	NA
	700	80	70	NA
	680	75	65	NA
Bank Statement and 1099 – Maximum CLTV				
Loan Amount	Credit Score	Primary Residence	Second Home	Investment
\$350,000	740	85	75	70
	700	80	70	60
	680	75	65	NA
\$500,000	740	80	70	65
	700	75	65	60
	680	70	60	NA
\$750,000	740	75	65	NA
	700	70	60	NA
	680	65	55	NA
WVOE and P&L Statement with 2 Mo Bank St – Maximum CLTV				
Loan Amount	Credit Score	Primary Residence	Second Home	Investment
\$350,000	740	80	70	70
	700	75	65	60
	680	70	60	NA
\$500,000	740	75	65	65
	700	70	60	60
	680	65	55	NA
\$750,000	740	70	60	NA
	700	65	55	NA
	680	60	50	NA
Property Type				
• Single Family: Attached, Detached • 2-4 Unit: Max CLTV 75% • Condominium: Max CLTV 80% • Not Eligible: Rural, Condotel				
Housing History	Credit Event Seasoning		Forbearance, Modification, or Deferral	First Time Homebuyer
0x30x12	BK/FC/SS/DIL/PreFC/MC/NOD: >= 48 Mo		> 12 Mo	Not Allowed
State Eligibility				
• Ineligible States: TX • Ineligible Locations: ○ Investor occupancy in Baltimore City, MD, and Philadelphia County, PA ○ Puerto Rico, Guam, & the US Virgin Islands • State Overlays for CT, FL, IL, NJ, NY: ○ Single Family, Condominiums: Max CLTV 80%, min credit score 720 ○ 2-4 Unit: Max CLTV 75%, min credit score 720				
Declining Market				
If the appraisal report identifies the property in a declining market, the maximum CLTV is limited to 80% for all transactions.				
General Requirements				
Product and Term	• Fixed Rate Terms: 10, 15, 20, 25, 30 years • 30/15 Balloon: 30 year fully amortized term with 15 year balloon term ○ Amortization term on the Note is 360 months but the qualifying amortization term for the debt-to-income ratio is based upon 180 months			
Interest Only	• Occupancy: Primary residence only • Max CLTV 80% • Terms: ○ 20 Year Fixed Rate Term: 3 year interest only with 17 year amortization ○ 30 Year Fixed Rate Term: 3 year interest only with 27 year amortization • Qualification based upon remaining term (amortized) after expiration of interest only period			
Loan Amounts	• Min: \$50,000 • Max: \$750,000			
Combined Loan Balance	• The CLTV of the combined loan balances are restricted as follows: ○ Combined loan balance > \$2,000,000 – maximum 80% CLTV ○ Combined loan balance > \$3,000,000 – maximum 75% CLTV			

- Maximum combined loan balance for all liens not to exceed \$4,000,000

Closed End Second – Standard and Alt Doc, continued

General Requirements, continued	
Loan Purpose	• Stand-Alone Cash-Out (minimum ownership of 6 months required) • Simultaneous Purchase, First Lien must be an Agency-eligible loan
Occupancy	• Primary, Second Home, Investment
Cash-In-Hand	• Max: \$750,000
Eligible Borrower	• U.S. Citizen • Permanent Resident Alien • Non-Permanent Resident Alien: Max 80% CLTV
Ineligible Loan Features	• Lien Free Properties – if the subject property is lien free, including delayed financing, ineligible. • Unseasoned cash-out – if the existing lien is a cash-out, measured within six (6) months of the note date to note date. • Frequent Refinances – Two (2) or more cash-out refinances in the past twelve (12) months.
Eligibility Criteria	• For criteria not referenced in this matrix, follow the Closed End Second chapter in the Non-Agency Seller Guide
First Lien Eligibility	
First Lien Documentation Requirements	• First lien documentation requirements, all of the following apply: ◦ Copy of 1st lien Note ▪ Default interest rate on Note cannot exceed Note rate ▪ If Interest Only and/or ARM, terms of the Note to be reviewed (See DTI Requirements) ◦ Copy of most recent monthly mortgage payment statement ▪ Utilized to determine if payment includes escrows (See DTI Requirements)
First Lien Qualifying Payment	• First lien qualifying payment for the debt-to-income (DTI) ratio: ◦ Stand-Alone Cash-Out Transaction: Use the mortgage payment verified on the credit report. ◦ Simultaneous Purchase Transaction: ▪ Fixed Rate: Note rate amortized over the total loan term. ▪ Adjustable Rate Mortgage (ARM): Qualifying rate is the higher of the fully indexed rate or the Note rate. ▪ Interest Only (Fixed/ARM): Qualifying rate is amortized over the remaining term after the expiration of the interest only period.
Ineligible First Liens	• Ineligible First liens with high-risk features include, but are not limited to: ◦ Forbearance, modifications, or deferrals completed or reinstated within 12- months of the Note date ◦ Loans in active forbearance or deferment ◦ Negative amortization including loans with Paid-In-Kind (PIK) features ◦ Balloon, if the balloon payment becomes due during the amortization period of the new 2nd lien ◦ Reverse Mortgages ◦ Loans secured by more than one underlying property, including cross collateralized loans or blanket mortgages ◦ Home Equity Line of Credit ◦ Note with default interest rate greater than the Note rate
Income Requirements	
Standard Doc	• Wage/Salary: Paystubs, 1-year or 2-years W-2's, IRS Form 4506-C, Verbal VOE • Self-Employed: 1-year or 2-years of Personal and Business (If applicable) Tax Returns, YTD P&L, IRS Form 4506-C
Personal Bank Statements	• 12- or 24-months of personal and 2-months of business bank statements • Qualifying income is determined by the total eligible deposits from the 12- or 24-months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account
Business Bank Statements	• 12 or 24-months of business bank statements. Qualifying income is determined by one of the following analysis methods: ◦ Fixed Expense Ratio (50%) ◦ Expense ratio provided by a Third party (CPA, EA, or tax preparer) with min ratio of 10% ◦ Third party prepared Profit & Loss Statement (CPA, EA, or tax preparer)
P&L Statement with Two Months Bank Statements	• 12- or 24-months CPA/EA/CTEC/Tax Attorney prepared Profit & Loss Statement • CPA/EA/CTEC/Tax Attorney must attest they have completed or filed the borrower's most recent business tax return • Two (2) months business bank statements for the most recent two (2) months reflected on the P&L Statement • Max CLTV 80%
Written VOE	• FNMA Form 1005 • Two (2) most recent months of personal bank statements reflecting deposit(s) from employer on each of the statements • Max CLTV 80%
IRS Form 1099	• 1-year or 2-years 1099 • Fixed Expense Ratio of 10% • YTD documentation to support continued receipt of income
Desktop Underwriter (DU) or Loan Product Advisor (LPA)	• Final AUS findings must be included in the loanfile ◦ Fannie Mae: DU Approve/Eligible, or ◦ Freddie Mac: LPA Accept/Eligible • Ineligible, Caution, or Refer with Caution not allowed • For simultaneous purchase transactions only • Findings permitted to be used for income, asset, and liability documentation • Appraisal must follow the requirements of this program (appraisal waiver option from findings not eligible) • Max DTI based upon CLTV restrictions for this program. See DTI Requirements.

Closed End Second – Standard and Alt Doc, continued

Property Requirements			
Acreage	Property up to 10 acres, not meeting the rural definition, eligible		
Appraisal Requirements	- HPML loans that are not Qualified Mortgages require a full appraisal report with an interior inspection, regardless of loan balance - Any simultaneous transaction requires a full appraisal with an interior inspection - Transferred appraisals are eligible - Primary Valuation and Secondary Valuation are required for all loan files. Primary Valuation: - Primary Valuation - Loan Amount <=\$400,000: See Non-Agency Seller Guide for requirements - Primary Valuation - Loan Amount >\$400,000: Full appraisal report with an interior inspection is required, see Non-Agency Seller Guide for requirements Secondary Valuation (Appraisal Review):_See Non-Agency Seller Guide for requirements		
Listing Seasoning	Properties currently listed for sale or previously listed for sale within the past 6-months are not eligible		
Title Requirements	Title Report: - Loan Amount <= \$250,000: See Non-Agency Seller Guide for requirements - Loan Amount > \$250,000: Title Insurance is required, see Non-Agency Seller Guide for requirements Ownership Seasoning: Subject property must be owned a minimum of 6-months (on title) to be eligible Existing Subordinate Liens: All existing subordinate liens must be satisfied except for solar panels, see Solar Panels section of the Non-Agency Seller Guide. - All Solar Panel loans and leases with PACE/HERO financing must be paid off.		
Flood Certificate and Flood Insurance	- Flood determination required for every loan file - Properties within a flood zone require evidence of insurance coverage in accordance with the HFIAA - Loss payee clause must reflect seller as additional insured		
Hazard Insurance	- Hazard Insurance coverage must provide for claims to be settled on a replacement cost basis - Loss payee clause must reflect seller as additional insured		
Escrows	Escrows for taxes and insurance are not permitted for second lien programs		
Underwriting Requirements			
Credit Score	- Use representative credit score of the borrower with the highest qualifying income - Representative score for each borrower is the lower of two (2) or middle of three (3) credit scores	Tradelines	- Min: 2 reporting 24-months with/activity in the last 12-months or 3 reporting 12-months w/recent activity - If the primary borrower has three (3) credit score, the minimum tradeline requirement is waived
Assets	Min of 30-day asset verification required if funds are needed to consummate the transaction	Reserves	- Simultaneous Purchase Transactions: Follow First lien requirements - Stand-Alone Cash-Out Transactions: None required
Gift Funds	Simultaneous Purchase Transactions: Follow First lien requirements	DTI Requirements	- Maximum DTI ratio: 50% DTI for CLTV less than or equal to 80% 45% DTI for CLTV greater than 80%
Document Age - Property	- Appraisal, Title Report (or O&E): 120-days - AVM: 90-days	Document Age - Credit	120-days
Prepayment Penalty – Investment Property Only	- Acceptable Structures include the following: - Fixed percentage of no less than 3% - Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years Example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) - Six (6) months of interest on prepayments that exceed 20% of the original principal balance in a given 12-month time period - Prepayment periods up to 5-Years eligible, see rate sheet AK, KS, MI, MN, NM, OH, RI, VA: Penalties not allowed IL, NJ: Penalties not allowed on loans vested to individuals MD: Penalties not allowed on second liens less than \$75,000 MS: Only declining prepayment penalty structures are allowed PA: Penalties not allowed on 1-2 unit loans with a loan amount less than or equal to the base figure (\$329,411 for 2026; adjusted annually). This restriction applies to business purpose loans whether vested to an individual or an entity. 3+ unit loans, or with a loan amount greater than \$329,411 are not subject to prepayment restrictions.		

